

House File 999

H-1290

1 Amend House File 999 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 CLAIMS AGAINST GRAIN DEPOSITORS AND SELLERS INDEMNITY FUND

6 Section 1. Section 203.12, subsection 1, Code 2025, is
7 amended to read as follows:

8 1. Upon the cessation of a grain dealer license by
9 revocation, cancellation, or expiration, any claim for the
10 purchase price of grain against the grain dealer shall be made
11 in writing and filed with the grain dealer and with the issuer
12 of a deficiency bond or of an irrevocable letter of credit
13 and with the department within one hundred twenty days after
14 the date of the cessation. A failure to make this timely
15 claim relieves the issuer and the grain depositors and sellers
16 indemnity fund provided in ~~chapter 203D~~ section 203D.6 or
17 203D.6A of all obligations to the claimant.

18 Sec. 2. Section 203.15, subsection 6, Code 2025, is amended
19 by striking the subsection.

20 Sec. 3. Section 203C.14, subsection 2, paragraph a, Code
21 2025, is amended to read as follows:

22 a. Upon the cessation of a warehouse operator's license due
23 to revocation, cancellation, or expiration, a claim against the
24 warehouse operator arising under ~~this chapter~~ shall be made in
25 writing with the warehouse operator, with the issuer of a bond
26 on agricultural products other than bulk grain, a deficiency
27 bond, or an irrevocable letter of credit, and, if the claim
28 relates to bulk grain, with the department. The claim must
29 be made within one hundred twenty days after the cessation
30 of the license. The failure to make a timely claim relieves
31 the issuer and, if the claim relates to bulk grain, the grain
32 depositors and sellers indemnity fund provided in ~~chapter 203D~~
33 section 203D.6 or 203D.6A of all obligations to the claimant.

34 Sec. 4. Section 203D.1, Code 2025, is amended by adding the
35 following new subsections:

1 NEW SUBSECTION. 8A. "*Indemnity fees*" or "*fees*" means a
2 participation fee and per-bushel fee as provided in sections
3 203D.3 and 203D.3A.

4 NEW SUBSECTION. 14A. "*Repayment loss*" means the amount of
5 a repayment claim held by a seller for purchased grain that the
6 seller has paid back to a grain dealer's bankruptcy estate,
7 pursuant to an order issued, judgment entered, or settlement
8 agreement approved by a bankruptcy court, and which amount
9 has not been subsequently recovered through other legal or
10 equitable remedies including the liquidation of the grain
11 dealer's assets.

12 Sec. 5. Section 203D.1, subsection 14, Code 2025, is amended
13 to read as follows:

14 14. *a.* "*Purchased grain*" means grain any of the following:

15 (1) Grain entered in the company-owned paid position as
16 evidenced on the grain dealer's daily position record.

17 (2) Grain purchased under credit-sale contract.

18 *b.* "*Purchased grain*" does not include grain that is subject
19 to an exempt transaction based on documentation satisfactory
20 to the department showing that the grain dealer did any of the
21 following:

22 (1) Purchased the grain from the United States government or
23 any of its subdivisions or agencies.

24 (2) Purchased the grain from a person licensed as a grain
25 dealer in any jurisdiction.

26 ~~(3) Purchased the grain under a credit-sale contract.~~

27 ~~(4)~~ (3) Entered the grain in the company-owned paid
28 position as a cancellation of a collateral warehouse receipt.

29 ~~(5)~~ (4) Entered the grain in the company-owned paid
30 position as an intra-company location transfer.

31 Sec. 6. Section 203D.1, subsection 16, Code 2025, is amended
32 to read as follows:

33 16. *a.* "*Seller*" means a person who sells grain which the
34 person has produced or caused to be produced to a licensed
35 grain dealer, ~~but excludes a person who executes a credit-sale~~

1 ~~contract as a seller as provided in section 203.15. However,~~
2 ~~"seller"~~

3 b. "Seller" does not include any of the following:

4 ~~a. (1)~~ A person licensed as a grain dealer in any
5 jurisdiction who sells grain to a licensed grain dealer.

6 ~~b. (2)~~ A person who sells grain that is not produced in
7 this state unless such grain is delivered to a licensed grain
8 dealer at a location in this state as the first point of sale.

9 Sec. 7. Section 203D.3, subsections 1 and 4, Code 2025, are
10 amended to read as follows:

11 1. The grain depositors and sellers indemnity fund is
12 created in the state treasury as a separate account. The
13 general fund of the state is not liable for claims presented
14 against the fund under section 203D.6 or 203D.6A.

15 4. The moneys collected under this section and deposited in
16 the fund shall be used exclusively to indemnify depositors and
17 sellers as provided in section 203D.6 or 203D.6A and to pay the
18 administrative costs of this chapter.

19 Sec. 8. Section 203D.3A, unnumbered paragraph 1, Code 2025,
20 is amended to read as follows:

21 The department shall collect indemnity fees, including
22 participation fees and per-bushel fees as provided in this
23 section, if ~~established~~ imposed by the board pursuant to
24 section 203D.5, at rates determined by the board as provided
25 in that section. ~~A person required to pay a fee shall use~~
26 licensee shall remit indemnity fees and forms and deliver the
27 payment to the department as required by the department.

28 Sec. 9. Section 203D.3A, subsection 1, paragraph a,
29 subparagraph (1), Code 2025, is amended to read as follows:

30 (1) In calculating the amount of the initial participation
31 fee, an applicant for a new license shall be deemed a licensee
32 ~~paying~~ remitting the full annual amount of the participation
33 fee owing on the licensee's first anniversary date ~~as provided~~
34 ~~in paragraph "b"~~. The department must be satisfied that the
35 applicant is calculating the amount due in good faith and using

1 the best information available.

2 (a) For a licensed grain dealer, the anniversary date is
3 the last date to apply for the renewal of the grain dealer's
4 license before the license expires as provided in section
5 203.5.

6 (b) For a licensed warehouse operator, the anniversary date
7 is the last date to apply for the renewal of the warehouse
8 operator's license before the license expires as provided in
9 section 203C.37.

10 Sec. 10. Section 203D.3A, subsection 1, paragraph b, Code
11 2025, is amended to read as follows:

12 b. A licensee shall pay remit a participation fee in
13 one installment as part of a license renewal application
14 in the same manner provided in paragraph "a". However, the
15 licensee may elect to remit the participation fee on four
16 successive installment dates, with each installment date
17 occurring on determined by the department not later than in the
18 month succeeding each of the last date of the fund's latest
19 assessment quarter quarters as provided in section 203D.3.
20 The licensee shall pay remit twenty-five percent of the total
21 participation fee assessed on each installment date. ~~However,~~
22 ~~nothing in this subsection prevents a licensee from paying~~
23 ~~the participation fee on an accelerated basis. A licensee~~
24 ~~shall pay the first installment on the last date of the~~
25 ~~fund's assessment quarter immediately following the licensee's~~
26 ~~anniversary date.~~

27 ~~(1) For a licensed grain dealer, the anniversary date is~~
28 ~~the last date to apply for the renewal of the grain dealer's~~
29 ~~license before the license expires as provided in section~~
30 ~~203.5.~~

31 ~~(2) For a licensed warehouse operator, the anniversary date~~
32 ~~is the last date to apply for the renewal of the warehouse~~
33 ~~operator's license before the license expires as provided in~~
34 ~~section 203C.37.~~

35 Sec. 11. Section 203D.3A, subsection 2, Code 2025, is

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1 amended to read as follows:

2 2. a. A licensed grain dealer shall remit a per-bushel fee
3 ~~shall be assessed~~ on all purchased grain.

4 b. The licensed grain dealer shall forward remit the
5 per-bushel fee to the department on a quarterly basis in the
6 manner and using the forms a form prescribed by the department.
7 The licensed grain dealer shall remit the per-bushel fee
8 and form on four successive installment dates, with each
9 installment date determined by the department not later than
10 in the month succeeding each of the fund's latest assessment
11 quarters as provided in section 203D.3.

12 c. A licensee licensed grain dealer is delinquent if the
13 licensee grain dealer fails to submit remit the full quarterly
14 per-bushel fee or quarterly forms and form when due or if,
15 upon examination, an underpayment of the fee is found by the
16 department. The licensed grain dealer is subject to a penalty
17 of ten dollars for each day the licensed grain dealer is
18 delinquent or an amount equal to the amount of the deficiency,
19 whichever is less. However, a licensee licensed grain dealer
20 who fails to submit remit the full quarterly per-bushel fee or
21 quarterly forms form when due, is subject to a minimum payment
22 of ten dollars. The department may establish and apply a
23 margin of error in determining whether a licensed grain dealer
24 is delinquent. ~~The per-bushel fee shall be collected only once~~
25 ~~on each bushel of grain.~~

26 e. d. The per-bushel fee shall not be collected more
27 than once on each bushel of grain. A licensed grain dealer
28 may ~~choose to~~ pass on the cost of a per-bushel fee to the
29 sellers by an itemized discount noted on the settlement sheet.
30 However, if the per-bushel fee is not in effect, ~~no~~ a licensed
31 grain dealer shall not make such a discount on the purchase of
32 grain. A discount made nominally for the per-bushel fee while
33 the per-bushel fee is not in effect is grounds for a license
34 suspension or revocation under chapter 203.

35 Sec. 12. Section 203D.5, subsection 1, Code 2025, is amended

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1 to read as follows:

2 1. The board shall annually review the debits of and credits
3 to the grain depositors and sellers indemnity fund created
4 in [section 203D.3](#) and shall determine whether to impose the
5 ~~participation fee and per-bushel fee~~ indemnity fees as provided
6 in [section 203D.3A](#), make adjustments to the indemnity fees
7 ~~effective on the previous September 1 in effect~~, or waive the
8 indemnity fees in effect as necessary to comply with this
9 section. The board shall make the determination not later
10 than May 1 of each year. The board shall impose the indemnity
11 fees or adjust the indemnity fees ~~effective on the previous~~
12 ~~September 1 in effect~~ in accordance with [chapter 17A](#). The
13 imposition or adjustment of the indemnity fees shall become
14 effective as follows:

15 a. For the participation fee, on the first day of the fund's
16 following ~~September 1~~ assessment year. However, the licensee
17 shall continue to pay ~~the~~ any owing participation fee at the
18 rate in effect on the ~~prior September 1~~ first day of the fund's
19 current assessment year, until the licensee has paid the amount
20 owing.

21 b. For a per-bushel fee, on the ~~following September 1~~ first
22 day of the fund's assessment year.

23 Sec. 13. Section 203D.5, subsections 4 and 5, Code 2025, are
24 amended to read as follows:

25 4. If on the last date of the fund's assessment year as
26 provided in [section 203D.3](#) the assets of the fund exceed ~~eight~~
27 twelve million dollars, less any encumbered balances or pending
28 or unsettled claims, all of the following apply:

29 a. The participation fee shall be waived and shall not be
30 assessable or owing for the fund's following assessment year
31 ~~of the fund~~. However, the licensee shall continue to pay
32 any owing participation fee that was in effect on the ~~prior~~
33 ~~September 1~~ first day of the fund's current assessment year.

34 b. The per-bushel fee shall be waived and shall not be
35 assessable or owing.

1 5. The board shall reinstate the indemnity fees as
2 provided in this section if the assets of the fund, less any
3 unencumbered balances or pending or unsettled claims, are ~~three~~
4 five million dollars or less.

5 Sec. 14. Section 203D.6, subsection 4, paragraph d, Code
6 2025, is amended to read as follows:

7 d. That the claim derives from a covered transaction. For
8 purposes of this paragraph, a claim derives from a covered
9 transaction if the claimant is a seller who transferred
10 title to the grain to a licensed grain dealer ~~other than by~~
11 ~~credit-sale contract~~ within six months of the incurrence date
12 for a claim period as provided in subsection 2, or if the
13 claimant is a depositor who delivered the grain to a licensed
14 warehouse operator.

15 Sec. 15. Section 203D.6, subsection 8, Code 2025, is amended
16 to read as follows:

17 8. *Payment of claims.* Upon a determination that the claim
18 is eligible for payment, the board shall provide for payment of
19 ninety percent of the loss, as determined under subsection 5,
20 but not more than three hundred thousand dollars per claimant.
21 If at any time the board determines that there are insufficient
22 ~~funds~~ moneys to make ~~payment~~ payments of all claims under this
23 section and all repayment claims under section 203D.6A, the
24 board may order that ~~payment~~ payments be deferred on specified
25 claims. The department, upon the board's instruction, shall
26 hold those claims for ~~payment~~ deferred payments until the board
27 determines ~~that the fund again contains~~ there are sufficient
28 ~~assets~~ moneys in the fund to make payments on all those claims.

29 Sec. 16. NEW SECTION. 203D.6A **Repayment claims against**
30 **fund.**

31 1. A separate indemnity claim process is established to
32 provide for the indemnification of a repayment loss incurred by
33 a seller against a grain dealer who is a debtor in bankruptcy
34 under the protections provided in Tit. 11 of the United States
35 Code.

1 *a.* A repayment claim shall be filed with the department in
2 the manner prescribed by the department.

3 *b.* A seller may file an eligible claim for a loss under
4 section 203D.6 and an eligible repayment claim for a repayment
5 loss under this section.

6 2. To be timely, a seller must file a repayment claim with
7 the department not later than sixty days after the repayment
8 loss is finalized by a bankruptcy court, whether by an order
9 issued, judgment entered, or settlement agreement approved.

10 3. The department may provide notice of the repayment claim
11 process to a seller that may become or has become subject to
12 an order issued, judgment entered, or settlement agreement
13 approved by a bankruptcy court that requires the seller to
14 pay back amounts previously received for grain purchased by a
15 licensed grain dealer, in the bankruptcy of the grain dealer.
16 If the department chooses to provide a notice to the seller, it
17 shall have discretion to determine any reasonable method and
18 manner of providing such notice. A failure by the department
19 to provide a notice or a failure by a seller to receive a notice
20 under this subsection, does not relieve the seller of the
21 requirement to timely file a repayment claim.

22 4. The board shall determine that a repayment claim is
23 eligible for payment from the fund if the board finds all of
24 the following:

25 *a.* The repayment claim was timely filed.

26 *b.* The repayment claimant qualifies as a seller.

27 *c.* The repayment claim derives from a covered transaction.
28 For purposes of this paragraph, a claim derives from a covered
29 transaction if the claimant is a seller who transferred title
30 to the grain to a licensed grain dealer within six months of
31 the incurrence date as provided in section 203D.6, subsection
32 2.

33 *d.* The seller submits adequate proof to establish the
34 repayment claim and the amount of the repayment loss.

35 *e.* A claim has not been paid for the same repayment loss.

1 5. A seller is not entitled to indemnify a claim for a
2 repayment loss if the repayment loss is incurred as a result of
3 a fraudulent transfer or conveyance by the seller.

4 6. The dollar value of a repayment claim is the amount a
5 seller has paid back that was previously received for the grain
6 as a result of an order issued, judgment entered, or settlement
7 agreement approved by a bankruptcy court and which has not been
8 recovered through other legal or equitable remedies including
9 the liquidation of assets.

10 7. The department acting on behalf of the board shall
11 deliver a notice to a seller filing a claim under this section.
12 The notice must include the board's determination of the
13 seller's eligibility and the value of the seller's repayment
14 loss. Within twenty days of delivering the notice, the seller
15 may request a hearing for the review of either determination.
16 The request shall be made in the manner provided by the
17 board. The hearing and any further appeal shall be conducted
18 as a contested case subject to chapter 17A. A seller whose
19 repayment claim has been refused by the board may appeal the
20 refusal to either the district court of Polk county or the
21 district court of the county in which the seller resides.

22 8. Upon a determination that the claim is eligible for
23 indemnification, the board shall provide for payment of ninety
24 percent of the repayment loss, as determined by the board,
25 but not more than three hundred thousand dollars counting
26 the dollar value losses paid to the same grain dealer during
27 the claim period as provided in section 203D.6. If at any
28 time the board determines that there are insufficient moneys
29 in the fund to make payment of all claims under section
30 203D.6 and this section, the board may order that payment be
31 deferred on specified claims. The department, upon the board's
32 instruction, shall hold the claims for deferred payment until
33 the board determines that the fund again contains sufficient
34 assets.

35 9. In the event of the payment of a repayment loss under

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1 this section, the fund is subrogated to the extent of the
2 amount of any payments to all rights, powers, privileges,
3 and remedies of the seller against any person regarding
4 the repayment loss. The seller shall render all necessary
5 assistance to the department and the board in securing the
6 rights granted in this section. No action or claim initiated
7 by a seller and pending at the time of payment from the fund
8 shall be compromised or settled without the consent of the
9 board.

10 10. a. A repayment claim shall expire if five years after
11 the board determines that the repayment claim is eligible, and
12 the claimant has failed to do any of the following:

13 (1) Provide for the fund's subrogation or render all
14 necessary assistance to the department and the board in
15 securing the department's rights of subrogation as required in
16 this section.

17 (2) Provide necessary documentation or information required
18 by the board in order to process the repayment claim.

19 b. The fund is not liable for the payment of an expired
20 repayment claim.

21 Sec. 17. EMERGENCY RULES. The department of agriculture
22 and land stewardship shall adopt emergency rules under section
23 17A.4, subsection 3, and section 17A.5, subsection 2, paragraph
24 "b", to implement the provisions of this division of this
25 Act within thirty business days of the effective date of
26 this section of this Act and shall submit such rules to the
27 administrative rules coordinator and the administrative code
28 editor pursuant to section 17A.5, subsection 1, within the same
29 period. The rules shall be effective immediately upon filing
30 unless a later date is specified in the rules. Any rules
31 adopted in accordance with this section shall also be published
32 as a notice of intended action as provided in section 17A.4.

33 Sec. 18. ASSESSMENT OF INDEMNITY FEES. A grain dealer
34 licensed under chapter 203 who is a party to a credit-sale
35 contract shall owe any indemnity fees assessed on grain

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1 purchased under the credit-sale contract beginning on September
2 1 of the first assessment quarter pursuant to section 203D.3A.

3 Sec. 19. EFFECTIVE DATE. The following, being deemed of
4 immediate importance, takes effect upon enactment:

5 The section of this division of this Act requiring the
6 department of agriculture and land stewardship to adopt
7 emergency rules.

8 Sec. 20. APPLICABILITY.

9 1. The process established in section 203D.6A, as enacted
10 by this Act, providing for the indemnification of a repayment
11 claim applies to a seller who incurs a repayment loss against
12 a grain dealer, if the grain dealer is a debtor in bankruptcy
13 under the protections provided in Tit. 11 of the United States
14 Code on or after October 24, 2022.

15 2. For a repayment loss incurred prior to July 1, 2025, the
16 end of the claim period in section 203D.6A, subsection 2, as
17 enacted by this Act, is August 29, 2025.

18 DIVISION II

19 ASSESSMENT YEAR

20 Sec. 21. Section 203D.3, subsection 3, Code 2025, is amended
21 to read as follows:

22 3. The assessment year of the fund ~~begins September~~ is the
23 same as the state fiscal year beginning on July 1 and ends
24 ending on August 31 June 30. Assessment quarters of the fund
25 begin ~~September~~ on July 1, December October 1, March January 1,
26 and ~~June~~ April 1. The finances of the fund shall be calculated
27 on an accrual basis in accordance with generally accepted
28 accounting principles.

29 Sec. 22. CONTINGENT EFFECTIVE DATE.

30 1. This division of this Act takes effect on the publication
31 date of the issue of the Iowa administrative bulletin that
32 includes a notice by the secretary of agriculture stating
33 that the indemnity fees paid by grain dealers and warehouse
34 operators have been waived as provided in section 203D.5.

35 2. The department of agriculture and land stewardship shall

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1 send a copy of the notice to the Code editor at least two
2 weeks prior to the publication date of the Iowa administrative
3 bulletin as described in subsection 1.>

4 2. Title page, by striking lines 1 through 6 and inserting
5 <An Act regulating the marketing of grain, by providing for
6 fees paid by grain dealers and warehouse operators into the
7 grain depositors and sellers indemnity fund, and the payment of
8 claims to reimburse sellers and depositors for losses covered
9 by the fund, and including effective date and applicability
10 provisions.>

MOMMSEN of Clinton